

Wafer shipment/ASP improving but valuation remains stretched, reiterate U/P

Reiterate Rating: UNDERPERFORM | PO: 69.00 HKD | Price: 147.20 HKD

Operating profit turns positive after losses since 4Q23

Hua Hong reported 2Q26 sales of US\$718mn, up 9% QoQ and 27% YoY, slightly above the high end of its guided range (US\$690mn-700mn) and our forecast of US\$694mn. Gross margin expanded from 13% in 1Q to 16.5% in 2Q (vs guidance of 14-16%). OP margin turned positive at 1.5% after prolonged operating losses since 4Q23. Net profit attributable to shareholders was US\$39mn (+85% QoQ/+386% YoY), while EPS was US\$0.022, vs our estimate of US\$0.021.

Mature node chip demand solid in 2Q backed by AI/auto

Hua Hong's 2Q revenue growth was mainly supported by 6% growth in wafer shipments – demand was strong across most chip products, i.e. NOR flash, MOSFET, general logic, power management, etc, driven by AI and automotive applications. We now assume near-full utilization of the company's capacity in 2H26/2027 (both 8" and 12"), reflecting management's optimistic view that the demand uptrend could sustain through 2027. The company's wafer ASP rose 3% QoQ in 2Q.

ASP recovering but valuation stretched, reiterate U/P

Hua Hong guides 3Q26 revenue to US\$770mn-780mn (mid-point +8% QoQ) with gross margin of 16-18%. As management noted, wafer shipment and ASP increase should contribute 40%/60% to sequential sales growth. That said, we estimate wafer ASP to increase by c.5% QoQ in 3Q. This is broadly in line with the pricing outlook of other Asian mature-node foundries (Exhibit 9), but slightly below our previous forecast of a high-single digit percentage increase. We expect the mild price recovery trend to last through 2027 (2026/27 ASP +7% p.a.). However, given the rising depreciation cost pressure (Fab 9A/9B to be fully loaded/started by end-2026), we do not expect a substantial improvement in the company's margins/profitability in 2027 – GPM 20%+/-; OPM 6-7%; ROE 4-5% assumed, but it is too low to justify the more than 4x P/B valuation. We adjust PO for Hua Hong to CNY69, still based on 2x historical upcycle level P/B, but roll forward valuation base from 2026 to 2027, reiterate Underperform.

Estimates (Dec) (US\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	58	55	199	322	381
EPS	0	0	0.1	0.2	0.2
EPS Change (YoY)	-82%	-7%	265%	62%	18%
Consensus EPS (Visible Alpha)			0.12	0.18	0.26
Free Cash Flow / Share	(1.36)	(0.673)	(0.220)	(0.068)	0.016
Valuation (Dec)					
P/E	557x	596x	162x	100x	84x
Dividend Yield	0%	0%	0.1%	0.1%	0.1%
EV / EBITDA*	66x	48x	28x	22x	19x
Free Cash Flow Yield*	-7.2%	-3.6%	-1.2%	-0.4%	0.1%

* For full definitions of *IQmethod*SM measures, see page 12.

14 August 2026

Equity

Key Changes

(US\$)	Previous	Current
Price Obj.	HK\$63.00	HK\$69.00
2027E EPS	0.17	0.19
2028E EPS	0.23	0.22
2026E EBITDA (m)	1,094.2	1,196.4
2027E EBITDA (m)	1,354.2	1,571.9
2028E EBITDA (m)	1,655.9	1,781.4

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Stock Data

Price	147.20 HKD
Price Objective	69.00 HKD
Date Established	14-Aug-2026
Investment Opinion	C-3-7
52-Week Range	44.66 HKD-219.60 HKD
Mrkt Val / Shares Out (mn)	32,187 USD / 1,715.9
Market Value (mn)	252,580 HKD
Average Daily Value (mn)	825.41 USD
Free Float	59.2%
BofA Ticker / Exchange	HHUSF / HKG
Bloomberg / Reuters	1347 HK / 1347.HK
ROE (2026E)	2.9%
Net Dbt to Eqty (Dec-2025A)	-18.6%

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Refer to important disclosures on page 13 to 15. Analyst Certification on page 10. Price Objective Basis/Risk on page 10.

iQprofileSM Hua Hong Grace

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(US\$ Millions)					
Sales	2,004	2,402	2,990	3,604	4,022
Gross Profit	205	283	508	697	850
Sell General & Admin Expense	(361)	(426)	(430)	(462)	(501)
Operating Profit	(156)	(143)	78	235	350
Net Interest & Other Income	19	50	27	88	99
Associates	3	4	10	0	0
Pretax Income	(134)	(89)	115	323	448
Tax (expense) / Benefit	(7)	(22)	(15)	(32)	(45)
Net Income (Adjusted)	58	55	199	322	381
Average Fully Diluted Shares Outstanding	1,709	1,729	1,717	1,717	1,717
Key Cash Flow Statement Data					
Net Income	58	55	199	322	381
Depreciation & Amortization	556	735	983	1,177	1,272
Change in Working Capital	115	(168)	(44)	1	(63)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(310)	28	265	(16)	37
Cash Flow from Operations	419	650	1,404	1,484	1,627
Capital Expenditure	(2,739)	(1,814)	(1,781)	(1,600)	(1,600)
(Acquisition) / Disposal of Investments	NA	NA	NA	NA	NA
Other Cash Inflow / (Outflow)	108	28	93	0	0
Cash Flow from Investing	(2,631)	(1,786)	(1,688)	(1,600)	(1,600)
Shares Issue / (Repurchase)	4	42	3	0	0
Cost of Dividends Paid	NA	NA	NA	NA	NA
Cash Flow from Financing	1,150	1,499	(157)	(563)	(394)
Free Cash Flow	(2,320)	(1,164)	(377)	(116)	27
Net Debt	(2,261)	(1,703)	(1,366)	(1,219)	(1,201)
Change in Net Debt	2,508	436	184	147	(50)
Key Balance Sheet Data					
Property, Plant & Equipment	5,859	6,676	7,260	7,701	8,047
Other Non-Current Assets	723	1,171	1,519	1,520	1,523
Trade Receivables	289	292	367	412	452
Cash & Equivalents	4,459	4,894	4,578	3,899	3,532
Other Current Assets	1,085	1,421	1,497	1,556	1,665
Total Assets	12,415	14,454	15,221	15,088	15,219
Long-Term Debt	1,917	2,787	1,665	1,665	1,665
Other Non-Current Liabilities	29	646	679	712	748
Short-Term Debt	281	404	1,547	1,015	666
Other Current Liabilities	1,282	1,452	1,547	1,652	1,738
Total Liabilities	3,508	5,290	5,438	5,045	4,818
Total Equity	8,907	9,164	9,783	10,043	10,401
Total Equity & Liabilities	12,415	14,454	15,221	15,088	15,219
iQmethod SM - Bus Performance*					
Return On Capital Employed	-0.3%	-0.2%	1.4%	2.6%	3.4%
Return On Equity	0.9%	0.9%	2.9%	4.4%	4.9%
Operating Margin	-7.8%	-5.9%	2.6%	6.5%	8.7%
EBITDA Margin	25.9%	29.7%	40.0%	43.6%	44.3%
iQmethod SM - Quality of Earnings*					
Cash Realization Ratio	7.2x	11.8x	7.1x	4.6x	4.3x
Asset Replacement Ratio	4.9x	2.5x	1.8x	1.4x	1.3x
Tax Rate (Reported)	NM	NM	13.4%	10.0%	10.0%
Net Debt-to-Equity Ratio	-25.4%	-18.6%	-14.0%	-12.1%	-11.5%
Interest Cover	-0.4x	-0.3x	2.2x	5.5x	8.3x

Key Metrics

* For full definitions of iQmethodSM measures, see page 12.

Company Sector

Semiconductors

Company Description

Hua Hong Semiconductor is a pure foundry mainly engaged in 200mm and 300mm wafer processing. Different to some of its foundry peers, the company primarily focuses on manufacturing the semiconductors for specialty applications, such as embedded non-volatile memory (eNVM) and power discrete.

Investment Rationale

Our Underperform rating for Hua Hong Semi is based on 1) cautious view on the semiconductor demand in China in 2026, 2) limited upside for the company's profitability improvement, and 3) already rich valuation.

Stock Data

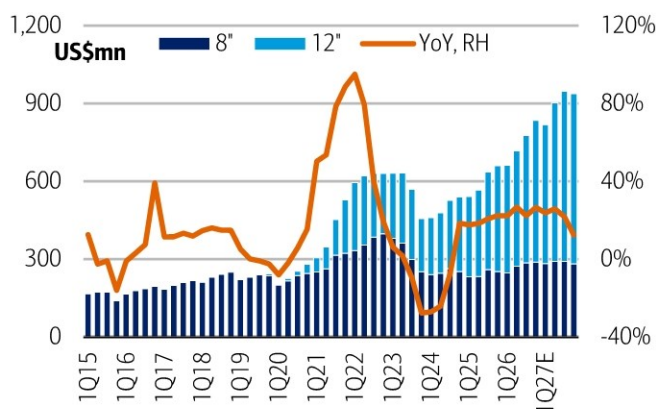
Price to Book Value

4.4x

Key charts after 2Q26 results

Exhibit 1: Hua Hong – Quarterly sales by wafer size and YoY

2Q26 sales US\$718mn (+9% QoQ/+27% YoY), reaching historical high

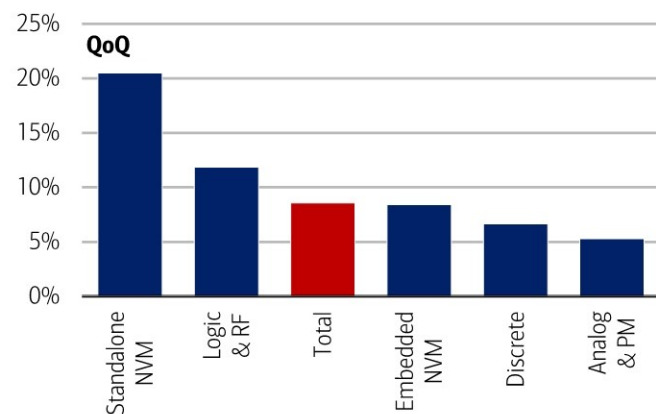


Source: Company, BofA Global Research estimates

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Exhibit 3: Hua Hong – QoQ growth by segment (2Q26)

Standalone NVM (NOR flash), logic and MCU sales growth more notable

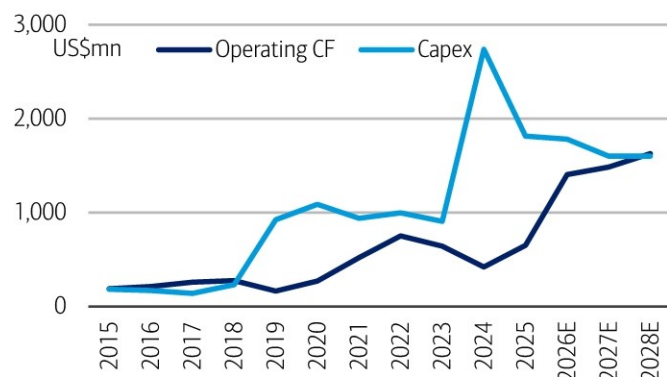


Source: Company, BofA Global Research

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Exhibit 5: Hua Hong Semi – Capex vs operating CF

c.US\$1.5bn capex per year expected for 2026-28, mainly for Fab9B construction

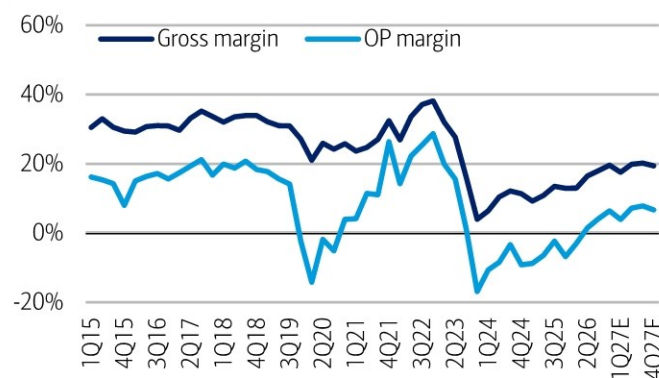


Source: Company, BofA Global Research estimates

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Exhibit 2: Hua Hong – Gross and OP margin trend

2Q26 gross margin was 16.5%, +3.5/5.6ppts QoQ/YoY, backed by ASP increase and cost reduction

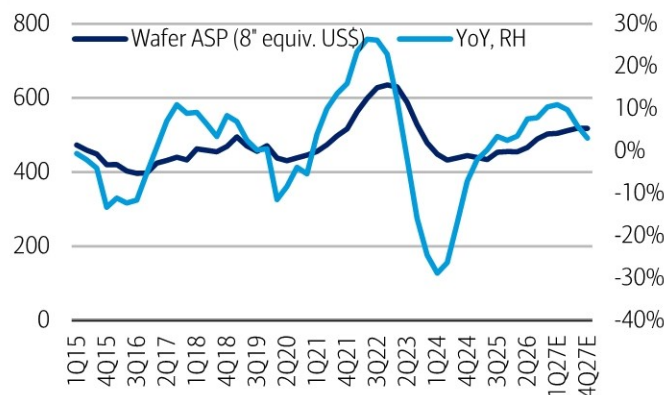


Source: Company, BofA Global Research estimates

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Exhibit 4: Hua Hong Semi – Wafer ASP and YoY

We project 8-10% YoY ASP increase through 2H26-1H27

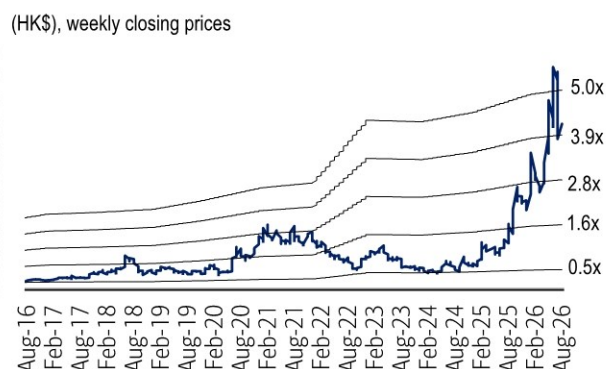


Source: Company, BofA Global Research estimates

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Exhibit 6: Hua Hong Semi – P/B band (forward 12-month)

Hua Hong current share price implying 4.3x P/B vs historical range mostly 0.5-2x



Source: Company, Bloomberg, BofA Global Research estimates

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Exhibit 7: Hua Hong – Earnings revision summary

2Q26 sales/GPM beyond expectation driven by ASP improvement and wafer shipment growth; further sales/GM improvement guided for 3Q26 (US\$770-780mn/16-18%); we assume slightly higher 2026/27 sales and margin given the higher demand visibility but EPS revision minimal due to higher interest expense and tax

CNYmn	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2023	2024	2025	2026E	2027E	2028E
EPS (CNY, FD)														
New	0.01	0.02	0.04	0.04	0.04	0.05	0.05	0.05	0.19	0.03	0.03	0.12	0.19	0.22
Old	0.01	0.02	0.04	0.05	0.04	0.04	0.05	0.04	0.19	0.03	0.03	0.12	0.17	0.23
Diff	na	4%	-7%	-1%	4%	11%	4%	10%	na	na	na	-2%	7%	-3%
DPS														
New	na	na	na	na	na	na	na	na	0.02	0.00	0.00	0.02	0.03	0.03
Old	na	na	na	na	na	na	na	na	0.02	0.00	0.00	0.02	0.03	0.03
Diff	na	na	na	na	na	na	na	na	na	na	na	0%	0%	0%
No. of shares (period end)														
New	1,717	1,717	1,717	1,717	1,717	1,717	1,717	1,717	1,716	1,717	1,717	1,717	1,717	1,717
Old	1,717	1,717	1,717	1,717	1,717	1,717	1,717	1,717	1,716	1,717	1,717	1,717	1,717	1,717
Diff	na	0%	0%	0%	0%	0%	0%	0%	na	na	na	0%	0%	0%
Sales														
New	661	718	777	835	818	903	946	937	2,286	2,004	2,402	2,990	3,604	4,022
Old	661	694	793	834	814	871	917	902	2,286	2,004	2,402	2,982	3,505	3,960
Diff	na	3%	-2%	0%	0%	4%	3%	4%	na	na	na	0%	3%	2%
GP														
New	86	118	140	164	144	180	191	182	487	205	283	508	697	850
Old	86	100	143	162	137	164	182	168	487	205	283	491	652	890
Diff	na	19%	-2%	1%	5%	9%	5%	8%	na	na	na	4%	7%	-4%
Gross margin														
New	13.0%	16.5%	18.0%	19.6%	17.6%	19.9%	20.2%	19.4%	21.3%	10.2%	11.8%	17.0%	19.3%	21.1%
Old	13.0%	14.4%	18.0%	19.4%	16.8%	18.9%	19.9%	18.6%	21.3%	10.2%	11.8%	16.4%	18.6%	22.5%
Diff	na	2.2%	0.0%	0.2%	0.8%	1.0%	0.4%	0.8%	na	na	na	0.5%	0.7%	-1.3%
OP														
New	-20	11	33	54	32	65	74	63	154	-156	-143	78	235	350
Old	-20	-15	28	45	18	42	58	41	154	-156	-143	39	159	357
Diff	na	nm	16%	20%	79%	54%	29%	52%	0%	na	na	101%	47%	-2%
OP margin														
New	-3.0%	1.5%	4.2%	6.5%	3.9%	7.2%	7.9%	6.7%	6.7%	-7.8%	-5.9%	2.6%	6.5%	8.7%
Old	-3.0%	-2.1%	3.6%	5.4%	2.2%	4.9%	6.3%	4.6%	6.7%	-7.8%	-5.9%	1.3%	4.5%	9.0%
Diff	na	3.7%	0.6%	1.1%	1.7%	2.4%	1.6%	2.1%	na	na	na	1.3%	2.0%	-0.3%
Net non-opex														
New	-2	0	19	20	21	22	23	23	20	22	54	37	88	99
Old	-2	21	21	22	22	22	22	23	20	22	54	61	89	92
Diff	na	-98%	-11%	-8%	-5%	-2%	1%	3%	na	na	na	-40%	-1%	7%
Tax rate (effective)														
New	21.5%	66.3%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	27.2%	-4.9%	-25.2%	13.4%	10.0%	10.0%
Old	21.5%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	27.2%	-4.9%	-25.2%	7.5%	10.0%	10.0%
Diff	na	56.3%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	na	na	na	6.0%	0.0%	0.0%
NP														
New	21	39	63	77	66	85	90	82	280	58	55	199	322	381
Old	21	37	68	77	63	77	86	74	280	58	55	203	300	392
Diff	na	5%	-7%	-1%	4%	11%	4%	10%	na	na	na	-2%	7%	-3%
EBITDA														
New	220	274	332	370	360	397	411	404	775	519	715	1,196	1,572	1,781
Old	220	243	306	325	304	337	361	352	775	519	715	1,094	1,354	1,656
Diff	na	13%	9%	14%	18%	18%	14%	15%	na	na	na	9%	16%	8%
Capex														
New	925	357	300	200	400	400	400	400	907	2,739	1,814	1,781	1,600	1,600
Old	925	400	300	200	500	500	500	500	907	2,739	1,814	1,825	2,000	1,600
Diff	na	-11%	0%	0%	-20%	-20%	-20%	-20%	na	na	na	-2%	-20%	0%

Source: Company, BofA Global Research estimates

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Exhibit 8: Hua Hong Semi – Our estimates vs consensus

We are already more optimistic on Hua Hong's GPM outlook than consensus, reflecting the company's ASP increase potential; consensus also cautious on the company's overall profit generation in 2026-27

(US\$m, %)	2Q26			3Q26E			4Q26E			1Q27E			2026E			2027E		
	Actual	Cons	% Diff.	BofAe	Cons	% Diff.	BofAe	Cons	% Diff.	BofAe	Cons	% Diff.	BofAe	Cons	% Diff.	BofAe	Cons	% Diff.
Sales	718	703	2%	777	822	-6%	835	883	-5%	818	898	-9%	2,990	3,081	-3%	3,604	3,787	-5%
GP	118	104	13%	140	136	3%	164	156	5%	144	152	-5%	508	483	5%	697	692	1%
OP	11	8	31%	33	37	-13%	54	47	14%	32	41	-22%	78	37	113%	235	233	1%
Pre-tax profit	12	16	-27%	51	53	-3%	74	61	21%	53	55	-4%	115	74	56%	323	229	41%
NP (minority)	39	39	-2%	63	71	-11%	77	72	6%	66	71	-8%	199	215	-7%	322	326	-1%
EPS (FD)	0.02	0.03	-14%	0.04	0.05	-22%	0.04	0.05	-5%	0.04	0.05	-20%	0.12	0.11	2%	0.19	0.17	8%
Gross margin	16.5%	14.9%	1.6%pt	18.0%	16.6%	1.5%pt	19.6%	17.6%	2.0%pt	17.6%	16.9%	0.7%pt	17.0%	15.7%	1.3%pt	19.3%	18.3%	1.0%pt
OP margin	1.5%	1.2%	0.3%pt	4.2%	4.6%	-0.4%pt	6.5%	5.4%	1.1%pt	3.9%	4.6%	-0.6%pt	2.6%	1.2%	1.4%pt	6.5%	6.1%	0.4%pt
Net margin	5.4%	5.6%	-0.2%pt	8.1%	8.6%	-0.5%pt	9.2%	8.2%	1.0%pt	8.0%	7.9%	0.1%pt	6.7%	7.0%	-0.3%pt	8.9%	8.6%	0.3%pt

Source: Company, Bloomberg, BofA Global Research estimates

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Exhibit 9: Mature node foundry companies' comments on 3Q26 pricing

Industry pricing momentum continued to strengthen in 3Q26, with foundries broadly reporting ASP increases and persistent supply tightness, driven by AI

Company	Ticker	Comments on 3Q26 pricing
United Nova	688469 CH	The company implemented price increases across MOSFETs, IGBTs, SiC and analog ICs, with an announced adjustment range of 15%-25% and an effective realized increase of approximately 15%, with sales/gross margin improvement expected to start in 3Q and accelerate in 4Q. Management views the upcycle as more sustainable than previous recoveries, driven by long-term AI infrastructure demand, domestic semiconductor localization, and ongoing supply tightness.
UMC	2303 TT	Wafer shipment will increase by high single-digit and ASP in U.S. dollar will remain firm in 3Q26.
Vanguard	5347 TT	Blended ASP is expected to increase by 2-4% QoQ in 3Q26, wafer shipment to increase by 1-3% QoQ
Powerchip	6770 TT	ASP for both memory and logic is increasing. DRAM prices continued to rise on strong AI-driven demand. For logic foundry, tight capacity drove a 10%–15% increase in both 8" and 12" wafer pricing in July. Management also noted that PMIC and power device foundry prices still have room for further increases in 2H26, supported by industry-wide price hikes and ongoing supply shortages.
DB HiTek	000990 KS	Full UTR should sustain due to tightening 8" supply and China's semiconductor self-sufficiency, with capacity shortages intensifying in 2H26. BCD demand is expected to expand, supported by new design wins in robotics and AI servers. The company expects continued price hikes and product-mix enhancement to improve ASP and profitability; additional price increase planned in 2H26 following the initial increase in 1H26.
GlobalFoundries	GFS US	The company implemented selective price increases across key technologies, with revenue benefits expected to begin in 2027. Management remains constructive on pricing, supported by improving industry dynamics, a richer product mix, and ongoing customer discussions.

Source: Companies

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Exhibit 10: Hua Hong Semi – Income statement

OPM turned positive in 2Q26 but overall profit generation in 2026 still low, continuous improvement expected in 2027/28 (7%/9%)

(US\$m)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2023	2024	2025	2026E	2027E	2028E
Sales total	661	718	777	835	818	903	946	937	2,286	2,004	2,402	2,990	3,604	4,022
COGS	575	599	637	671	674	723	755	755	1,799	1,799	2,119	2,482	2,908	3,171
Gross profit	86	118	140	164	144	180	191	182	487	205	283	508	697	850
Opex	106	107	108	110	112	114	117	119	333	361	426	430	462	501
Selling	2	3	3	3	3	4	4	4	10	10	11	12	14	16
G&A (incl. R&D)	103	104	104	106	109	111	113	115	323	351	415	419	448	485
Operating profit	-20	11	33	54	32	65	74	63	154	-156	-143	78	235	350
Non-operating income/(loss)	-2	0	19	20	21	22	23	23	20	22	54	37	88	99
Other income and gains	25	22	40	40	40	40	40	40	171	178	138	127	160	160
Other (expenses)	0	0	0	0	0	0	0	0	-61	-63	-18	0	0	0
Net finance income/(expense)	-28	-29	-21	-20	-19	-18	-17	-17	-100	-97	-68	-98	-72	-61
Share of profits of associates	0	9	0	0	0	0	0	0	9	3	4	10	0	0
Others	0	-2	0	0	0	0	0	0	0	0	-3	-2	0	0
Pre-tax income	-22	12	51	74	53	87	97	86	174	-134	-89	115	323	448
Taxes	-5	8	5	7	5	9	10	9	47	7	22	15	32	45
Effective tax rate	22%	66%	10%	10%	10%	10%	10%	10%	27%	-5%	-25%	13%	10%	10%
Net profit	-17	4	46	66	48	78	87	78	126	-140	-111	99	291	404
Minority income	-38	-35	-16	-10	-18	-6	-2	-4	-154	-198	-166	-100	-31	22
Net profit after minority	21	39	63	77	66	85	90	82	280	58	55	199	322	381
EPS (FD)	0.01	0.02	0.04	0.04	0.04	0.05	0.05	0.05	0.19	0.03	0.03	0.12	0.19	0.22
% to sales total														
Gross profit	13%	17%	18%	20%	18%	20%	20%	19%	21%	10%	12%	17%	19%	21%
Opex	16%	15%	14%	13%	14%	13%	12%	13%	15%	18%	18%	14%	13%	12%
Operating profit	-3%	2%	4%	6%	4%	7%	8%	7%	7%	-8%	-6%	3%	7%	9%
Pre-tax income	-3%	2%	7%	9%	6%	10%	10%	9%	8%	-7%	-4%	4%	9%	11%
Net profit	-3%	1%	6%	8%	6%	9%	9%	8%	6%	-7%	-5%	3%	8%	10%
QoQ growth														
Sales	0%	9%	8%	7%	-2%	10%	5%	-1%						
Gross profit	1%	38%	18%	17%	-12%	25%	7%	-5%						
Opex	-19%	2%	0%	2%	2%	2%	2%	2%						
Operating profit	nm	nm	195%	66%	-40%	103%	14%	-15%						
Pre-tax income	nm	nm	347%	44%	-28%	64%	12%	-11%						
Net profit	nm	nm	1093%	44%	-28%	64%	12%	-11%						
YoY growth														
Sales	22%	27%	22%	26%	24%	26%	22%	12%	-8%	-12%	20%	24%	21%	12%
Gross profit	72%	92%	63%	92%	67%	52%	36%	11%	-42%	-58%	38%	80%	37%	22%
Opex	9%	10%	7%	-16%	6%	7%	9%	8%	19%	8%	18%	1%	7%	8%
Operating profit	nm	nm	nm	nm	nm	490%	128%	17%	-73%	-201%	14%	7%	201%	49%
Pre-tax income	nm	nm	1521%	nm	nm	655%	89%	17%	-65%	-177%	18%	1%	182%	39%
Net profit	nm	nm	nm	nm	nm	1916%	89%	17%	-69%	-211%	nm	nm	193%	39%

Source: Company, BofA Global Research estimates

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Exhibit 11: Hua Hong Semi – Wafer shipment/ASP assumptions

We assume 7% per year ASP growth for Hua Hong in 2026/27; 12" wafer shipment growth mainly by new capacity additions

US\$mn	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2023	2024	2025	2026E	2027E	2028E
Revenue by wafer size														
8"	246	272	285	288	282	291	291	282	1,290	1,001	975	1,092	1,146	1,110
12"	415	446	491	547	536	612	655	655	996	1,003	1,427	1,898	2,459	2,912
Total	661	718	777	835	818	903	946	937	2,286	2,004	2,402	2,990	3,604	4,022
Wafer shipment (k units)														
8"	522	548	548	537	521	531	531	515	2,168	2,145	2,106	2,154	2,098	2,002
12"	414	440	462	499	489	548	575	575	860	1,066	1,457	1,815	2,188	2,517
Total (8" equiv.)	1,453	1,538	1,588	1,660	1,621	1,764	1,825	1,809	4,103	4,545	5,384	6,238	7,020	7,665
ASP (US\$/wafer, shipment based)														
8"	472	496	521	537	542	548	548	548	595	466	463	507	546	554
12"	1,001	1,013	1,063	1,095	1,095	1,117	1,139	1,139	1,158	941	980	1,046	1,124	1,157
Average (8" equiv.)	455	467	489	503	505	512	518	518	557	441	446	479	513	525
Utilization														
8"	101%	104%	103%	101%	97%	99%	99%	96%	101%	100%	99%	101%	98%	94%
12"	99%	102%	99%	98%	89%	95%	94%	92%	91%	94%	99%	99%	93%	92%
Average (8" equiv.)	100%	103%	100%	99%	92%	96%	96%	93%	96%	97%	99%	100%	94%	92%
QoQ %														
Revenue														
8"	-2%	10%	5%	1%	-2%	3%	0%	-3%						
12"	2%	8%	10%	11%	-2%	14%	7%	0%						
Total	0%	9%	8%	7%	-2%	10%	5%	-1%						
Wafer shipment (k units)														
8"	-2%	5%	0%	-2%	-3%	2%	0%	-3%						
12"	2%	6%	5%	8%	-2%	12%	5%	0%						
Total (8" equiv.)	0%	6%	3%	5%	-2%	9%	3%	-1%						
ASP (US\$/wafer, shipment based)														
8"	0%	5%	5%	3%	1%	1%	0%	0%						
12"	0%	1%	5%	3%	0%	2%	2%	0%						
Average (8" equiv.)	0%	3%	5%	3%	0%	1%	1%	0%						
YoY %														
Revenue														
8"	7%	17%	10%	14%	15%	7%	2%	-2%	-12%	-22%	-3%	12%	5%	-3%
12"	34%	34%	31%	34%	29%	37%	33%	20%	-1%	1%	42%	33%	30%	18%
Total	22%	27%	22%	27%	24%	26%	22%	12%	-8%	-12%	20%	24%	21%	12%
Wafer shipment (k units)														
8"	2%	7%	0%	1%	0%	-3%	-3%	-4%	-8%	-1%	-2%	2%	-3%	-5%
12"	30%	25%	22%	23%	18%	24%	24%	15%	11%	24%	37%	25%	20%	15%
Total (8" equiv.)	18%	18%	13%	15%	12%	15%	15%	9%	0%	11%	18%	16%	13%	9%
ASP (US\$/wafer, shipment based)														
8"	5%	10%	10%	13%	15%	10%	5%	2%	-5%	-22%	-1%	10%	8%	2%
12"	3%	7%	7%	10%	9%	10%	7%	4%	-11%	-19%	4%	7%	7%	3%
Average (8" equiv.)	4%	8%	8%	10%	11%	10%	6%	3%	-8%	-21%	1%	7%	7%	2%

Source: Company, BofA Global Research estimates

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Exhibit 12: Hua Hong Semi – Balance sheet

Hua Hong still in net cash position (US\$5.4bn cash held by 2Q26 vs US\$3.6bn debt)

US\$m	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2023	2024	2025	2026E	2027E	2028E
Assets total	14,947	15,226	14,298	15,221	14,811	14,948	14,093	15,088	10,943	12,415	14,454	15,221	15,088	15,219
Current assets total	6,654	6,421	5,448	6,442	5,916	5,939	4,976	5,867	6,570	5,833	6,607	6,442	5,867	5,649
Cash & cash equivalent	4,868	4,532	3,720	4,578	4,134	4,059	3,064	3,899	5,585	4,459	4,894	4,578	3,899	3,532
ST investment	45	45	45	45	45	45	45	45	32	32	32	45	45	45
A/R	313	322	341	367	360	397	416	412	290	289	292	367	412	452
Prepayment & other receivables	662	701	512	550	539	595	624	618	34	364	561	550	618	678
Inventories	533	585	595	605	592	596	581	581	450	467	544	605	581	615
Others	233	235	234	297	245	247	246	312	179	222	283	297	312	327
Non-current assets total	8,294	8,805	8,850	8,779	8,896	9,008	9,116	9,221	4,374	6,583	7,847	8,779	9,221	9,570
Fixed assets	7,106	7,286	7,331	7,260	7,377	7,489	7,597	7,701	3,519	5,859	6,676	7,260	7,701	8,047
Others	1,188	1,518	1,518	1,519	1,519	1,519	1,519	1,520	855	723	1,171	1,519	1,520	1,523
Liabilities total	5,663	5,528	4,570	5,438	4,998	5,063	4,123	5,045	2,929	3,508	5,290	5,438	5,045	4,818
Current liabilities total	1,936	3,174	2,870	3,093	2,658	2,674	2,421	2,667	970	1,562	1,856	3,093	2,667	2,404
ST debts	812	1,909	1,718	1,547	1,392	1,253	1,127	1,015	193	281	404	1,547	1,015	666
A/P	270	290	315	369	370	397	415	415	235	298	330	369	415	439
Others	853	975	837	1,178	896	1,024	879	1,237	542	983	1,122	1,178	1,237	1,299
Non-current liabilities	3,727	2,354	1,700	2,344	2,340	2,389	1,702	2,378	1,958	1,946	3,433	2,344	2,378	2,414
LT debts	3,085	1,665	1,665	1,665	1,665	1,665	1,665	1,665	1,907	1,917	2,787	1,665	1,665	1,665
Others	642	689	35	679	674	723	36	712	52	29	646	679	712	748
Equity total	6,731	7,138	7,184	7,251	7,298	7,377	7,464	7,542	6,301	6,247	6,613	7,251	7,542	7,877
Paid in capital	4,988	4,988	4,988	4,988	4,988	4,988	4,988	4,988	4,934	4,938	4,987	4,988	4,988	4,988
Reserves	1,743	2,150	2,196	2,263	2,311	2,389	2,476	2,554	1,367	1,309	1,625	2,263	2,554	2,889
Treasury stocks	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Others	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Minority	2,554	2,559	2,543	2,533	2,515	2,508	2,506	2,502	1,714	2,660	2,552	2,533	2,502	2,524
Net Asset	9,284	9,697	9,727	9,783	9,813	9,885	9,970	10,043	8,015	8,907	9,164	9,783	10,043	10,401
D/E Analysis														
Cash & cash equivalent	5,399	5,374	4,561	5,420	4,976	4,901	3,906	4,741	5,585	4,459	4,894	4,578	3,899	3,532
Gross debts	3,897	3,575	3,384	3,212	3,057	2,918	2,793	2,680	2,100	2,198	3,191	3,212	2,680	2,331
Net debts	-1,502	-1,799	-1,177	-2,208	-1,918	-1,983	-1,113	-2,060	-3,486	-2,261	-1,703	-1,366	-1,219	-1,201
Net D/E ratio	-16%	-19%	-12%	-23%	-20%	-20%	-11%	-21%	-43%	-25%	-19%	-14%	-12%	-12%
BVPS	3.9	4.2	4.2	4.2	4.3	4.3	4.3	4.4	3.7	3.6	3.9	4.2	4.4	4.6

Source: Company, BofA Global Research estimates

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Exhibit 13: Hua Hong Semi – Cash flow statement

US\$1.8bn capex assumed for 2026, mainly for the rest of Fab9A capacity installation; c.US\$1.5bn/year capex guided through 2027-28, mainly for Fab9B construction and ramp-up

US\$m	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2023	2024	2025	2026E	2027E	2028E
I. CF from operation	130	338	-305	1,241	128	471	-467	1,352	642	419	650	1,404	1,484	1,627
Net income	-17	4	46	66	48	78	87	78	126	-140	-111	99	291	404
Depreciation and amortization	215	233	260	276	288	292	297	301	500	556	735	983	1,177	1,272
Change in net working capital	-389	38	48	259	-198	56	-159	302	-65	115	-168	-44	1	-63
Others	322	62	-659	639	-9	44	-692	671	79	-111	194	365	15	15
II. CF from investments	-857	-331	-300	-200	-400	-400	-400	-400	-833	-2,631	-1,786	-1,688	-1,600	-1,600
Capital expenditures	-925	-357	-300	-200	-400	-400	-400	-400	-907	-2,739	-1,814	-1,781	-1,600	-1,600
Others	68	25	0	0	0	0	0	0	73	108	28	93	0	0
III. CF from financing	639	-406	-207	-182	-172	-146	-128	-117	3,782	1,150	1,499	-157	-563	-394
Change in debts	636	-405	-191	-172	-155	-139	-125	-113	707	1,382	870	-131	-532	-417
Change in capital stocks	3	0	0	0	0	0	0	0	2,941	4	42	3	0	0
Others	-1	-1	-16	-10	-18	-6	-2	-4	134	-236	587	-29	-31	22
IV. FX impact	62	63	0	0	0	0	0	0	-14	-64	71	125	0	0
IV. Cash flows (I+II+III)	-26	-336	-813	859	-444	-75	-995	835	3,576	-1,126	435	-315	-679	-367
Cash at beginning of the period	4,894	4,868	4,532	3,720	4,578	4,134	4,059	3,064	2,009	5,585	4,459	4,894	4,578	3,899
Adjustment for cash balance	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Cash at end of the period	4,868	4,532	3,720	4,578	4,134	4,059	3,064	3,899	5,585	4,459	4,894	4,578	3,899	3,532

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 14: Hua Hong Semi – Valuation comparison vs China/global foundries and OSATs

Hua Hong Semi H-share 2026/27 P/B already more than 4x but ROE lower than China foundry/OSAT peers' (5-10%)

Ticker	Rating	Price (Local)	Mcap (\$bn)	P/E			P/B			EV/EBITDA			EV/Sales			ROE			
				FY25	FY26E	FY27E	FY25	FY26E	FY27E	FY25	FY26E	FY27E	FY25	FY26E	FY27E	FY25	FY26E	FY27E	
China foundry/OSAT companies																			
Hua Hong	1347 HK	U/P	147.2	41.7	595.8	161.8	100.0	4.9	4.4	4.3	47.6	28.4	21.7	14.2	11.4	9.4	0.9%	2.9%	4.4%
SMIC	981 HK	nc	67.9	100.9	104.3	65.0	47.0	3.4	3.1	2.9	22.4	21.2	17.6	11.8	10.6	8.9	3.3%	4.8%	6.1%
JCET	600584 CH	BUY	77.8	20.6	89.0	50.6	37.3	4.9	4.5	4.1	24.2	19.8	16.6	3.9	3.4	2.9	5.6%	9.3%	11.5%
Tongfu Micro	002156 CH	nc	62.2	14.0	47.1	62.4	51.4	3.7	5.3	4.9	13.2	16.0	14.3	2.6	3.4	3.0	8.1%	9.1%	10.1%
Nexchip	688249 CH	nc	39.6	14.1	92.2	66.5	44.2	3.0	3.6	3.2	na	na	na	8.5	8.6	7.0	3.3%	4.6%	5.8%
CR Micro	688396 CH	nc	59.9	11.8	106.2	60.3	43.9	3.1	3.2	3.0	27.0	28.8	22.2	5.7	5.6	4.7	2.9%	5.1%	7.0%
Tianshui Huatian	002185 CH	nc	17.9	8.8	49.9	67.5	51.1	2.0	3.1	2.9	12.0	19.2	16.3	2.8	3.5	3.0	4.1%	4.8%	6.0%
Average					154.9	76.3	53.6	3.6	3.9	3.6	24.4	22.3	18.1	7.1	6.6	5.6	4.0%	5.8%	7.3%
Global foundry companies																			
TSMC	2330 TT	BUY	2,435	1,959.5	36.8	22.1	15.9	11.7	8.0	5.6	22.9	14.7	10.6	15.7	11.0	7.9	35.4%	43.0%	41.4%
Samsung	005930 KS	BUY	258,000	1,085.7	39.3	5.7	4.3	4.1	2.5	1.7	16.7	3.4	2.6	4.5	2.1	1.6	10.8%	53.4%	46.2%
UMC	UMC US	U/P	19	48.6	37.3	16.9	20.6	4.1	3.5	3.2	15.7	12.5	10.0	6.6	5.6	4.6	11.0%	22.3%	16.2%
GlobalFoundries	GFS US	U/P	53	29.2	30.7	28.6	20.9	2.4	2.4	2.2	13.0	12.4	10.9	4.5	4.2	3.8	8.5%	8.5%	11.1%
PSMC	6770 TT	BUY	74.9	10.8	NM	11.1	10.0	4.3	2.8	2.2	65.6	8.0	6.7	7.3	4.9	3.0	-9.2%	28.5%	23.0%
Vanguard	5347 TT	BUY	163.0	9.5	37.9	25.3	15.3	4.8	5.9	4.5	24.4	18.2	10.8	8.1	6.7	4.5	12.4%	20.7%	33.3%
Average					36.4	18.3	14.5	5.2	4.2	3.2	26.4	11.5	8.6	7.8	5.7	4.2	11.5%	29.4%	28.5%

Non-covered (nc) companies' multiples are based on Bloomberg consensus

Source: BofA Global Research estimates, Bloomberg, company reports

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Exhibit 15: Abbreviations

Abbreviations

Abbr.	Full name
AI	Artificial Intelligence
ASP	Average Selling Price
DRAM	Dynamic Random-Access Memory
eNVM	Embedded Non-Volatile Memory
IC	Integrated Circuit
IGBT	Insulated Gate Bipolar Transistor
MOSFET	Metal-Oxide-Semiconductor Field-Effect Transistor
NOR	Not OR
PMIC	Power Management Integrated Circuit
RF	Radio Frequency
SiC	Silicon Carbide
UTR	Utilization Ratio

Source: BofA Global Research

BofA GLOBAL RESEARCH



Price objective basis & risk

Hua Hong Grace (HHUSF)

Our PO of HK\$69 is based on 2x 2027E BVPS of US\$4.4. The target P/B is benchmarking China A-share foundry/OSAT stocks' average valuation of 3-4x P/B (2027E) but discounted due to Hua Hong Semi's 40-60% A-share price premium over its H-share. 2x P/B is higher than the company's historical average of 1.2x as we expect the company can still improving profitability in 2026-27 and the semiconductor chip manufacturing localization demand is still rising in China.

Upside risks to our PO are: 1) stronger-than-expected chip demand, 2) acquisition of Huali Microelectronics at discount, and 3) stronger government supports (subsidies, policies supporting semis localization, push for industry consolidation, etc).

Downside risks to our PO are: 1) faster-than-expected capacity expansion by domestic peers such as SMIC, Nexchip, United Nova, etc., 2) softer-than-expected end-demand on macro/trade issues, 3) being cut-off from accessing key equipment and materials.

Analyst Certification

We, Dai Shen and Simon Woo, CFA, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	Alchip	ALCPF	3661 TT	Haas Liu
	All Ring	XNQNF	6187 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	Macronix International	MXICF	2337 TT	Dai Shen
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	Omnivision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPXF	603893 CH	Daley Li, CFA

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Hynix ADR	SKHY	SKHY US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang

NEUTRAL

	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Mike Yang
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA

UNDERPERFORM

	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hua Hong Grace	HHUSF	1347 HK	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Maxscend	XMVSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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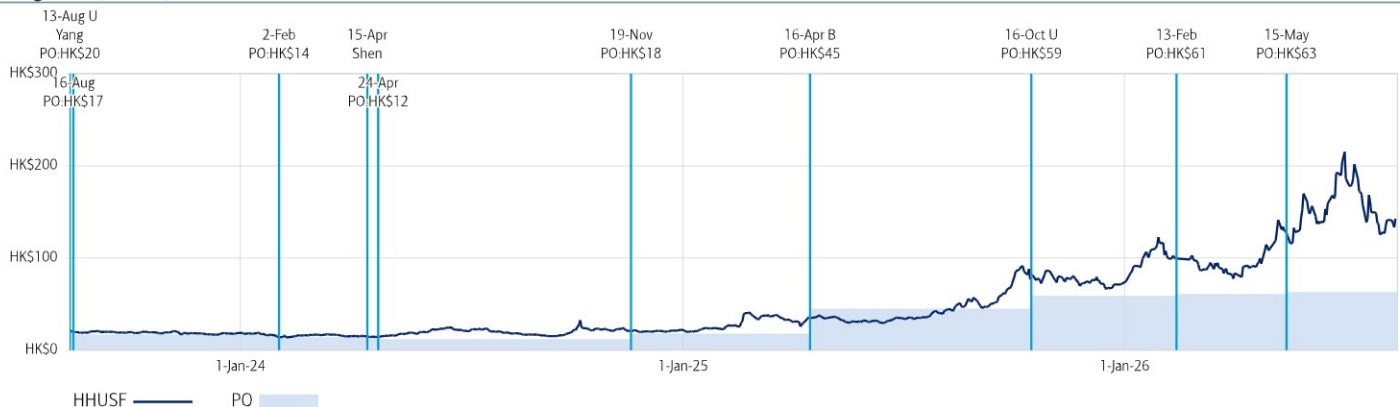
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Important Disclosures

Hua Hong Grace (HHUSF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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